

THE FOURTH FUNCTION

Research, Data, and Analysis as a Power of the Administrative State

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DRAFT — FOR DISCUSSION

June 2026

ABSTRACT

Administrative law has long described the agency in the image of the three branches: it legislates by rulemaking, adjudicates disputes, and executes the laws through enforcement. But agencies do a fourth thing that fits none of these categories and that the field has scarcely theorized—they produce knowledge. They run the national statistical system, model the economy, survey households, build the public datasets on which markets and courts rely, and publish a torrent of research that shapes policy long before any rule is proposed. This Note offers an administrative-law account of that research function: its legal authority, its scope, and its impact. It argues that agency research occupies a striking doctrinal gap—it is rarely a “rule,” seldom “final agency action,” and largely beyond the reach of the Administrative Procedure Act and the Information Quality Act alike—yet it carries enormous practical force. Three case studies map the terrain. The Federal Reserve illustrates the model of insulated research: an off-budget, politically independent central bank whose analysis is the substrate of monetary policy and whose supervisory stress-test models function as *de facto* rules without the procedures that ordinarily attend them. The federal statistical system—the Census Bureau and the Bureau of Labor Statistics—illustrates research that is legally operative on its face: numbers that apportion the House, redraw districts, and adjust Social Security, Treasury securities, and the tax brackets, protected by a statutory confidentiality bargain and contested in litigation from *Utah v. Evans* to *Department of Commerce v. New York*. The economic-analysis agencies—the Securities and Exchange Commission and the Federal Trade Commission—illustrate research as a precondition to power: cost-benefit and competition analysis that courts have converted, through cases like *Business Roundtable v. SEC*, into an enforceable prerequisite for valid rulemaking. The Note compares the three models along the axes of authority, scope, and impact; identifies an accountability paradox in which the most influential research is the least reviewable; situates the question in the post-*Loper Bright* order, where the quality of the administrative record matters more than ever; and sketches the elements of a procedural law of agency research. A separate empirical study, presented as a companion to this Note, measures the downstream uptake of agency research in the scholarly, judicial, and rulemaking records; its principal findings are noted here where they bear on the doctrinal argument.

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Introduction

The standard picture of the administrative agency is a miniature of the constitutional order. The agency makes law when it promulgates rules, an essentially legislative act; it decides cases when it adjudicates, an essentially judicial one; and it carries the law into effect when it investigates, prosecutes, and licenses, an essentially executive function. The combination of these three powers in a single body is the recurring anxiety of the field, the thing the Administrative Procedure Act was written to discipline and the separation-of-powers cases keep returning to.¹ But agencies do a fourth thing, and they do an enormous amount of it. They produce knowledge.

The Bureau of Labor Statistics fields the surveys that yield the unemployment rate and the Consumer Price Index. The Census Bureau counts the population, an act the Constitution commands, and runs the American Community Survey that supplies the demographic baseline for everything from civil-rights enforcement to highway funding. The Federal Reserve maintains research divisions at the Board and at twelve Reserve Banks, publishes hundreds of working papers a year, conducts the triennial Survey of Consumer Finances, and curates FRED, the database of record for American macroeconomics. The Securities and Exchange Commission and the Federal Trade Commission keep standing economics shops whose models and retrospectives decide whether rules survive judicial review and whether mergers are challenged. The National Institutes of Health is, in the main, a research institution that happens to sit inside the executive branch. Across the government, the production of data, analysis, and research is not an incident of

¹On the tripartite image of agency power and its separation-of-powers discontents, see, e.g., *FTC v. Ruberoid Co.*, 343 U.S. 470, 487 (1952) (Jackson, J., dissenting) (administrative agencies “have become a veritable fourth branch of the Government”); Gary Lawson, *The Rise and Rise of the Administrative State*, 107 Harv. L. Rev. 1231 (1994). The Administrative Procedure Act, ch. 324, 60 Stat. 237 (1946) (codified as amended at 5 U.S.C. §§ 551–559, 701–706), is built around the rulemaking/adjudication dichotomy. See 5 U.S.C. § 551(4)–(7).

administration; it is a vast, continuous, and consequential enterprise in its own right.² Call it the research function—the agency’s production of statistics, datasets, models, surveys, and studies. This Note is about its legal architecture.

The function is, for the most part, invisible to administrative law. The field’s organizing categories—rule and order, legislative and adjudicative fact, final and non-final action—were built for the agency that commands and forbids, not for the agency that measures and explains. A statistical release is not a “rule”: it binds no one and carries no sanction. It is rarely “final agency action” reviewable under the Administrative Procedure Act, because it consummates no decisionmaking process and determines no rights or obligations.³ And the one statute written specifically to police the quality of government information—the Information Quality Act of 2000—has been read by the courts to create no private right of action and no judicial review at all.⁴ The result is a domain of governmental activity that is immensely influential and almost entirely unregulated by the ordinary tools of administrative law.

That invisibility would matter less if the research function were inert. It is not. Agency numbers are wired directly into the operation of law: the decennial census apportions the House of Representatives and reallocates billions in federal funds; the Consumer Price Index adjusts Social Security benefits, the principal of Treasury inflation-protected securities, and the brackets of the federal income tax.⁵ Agency models have regulatory teeth: the Federal Reserve’s

²On the scale of the federal research and statistical enterprise, see Nat’l Acads. of Scis., Eng’g & Med., *Principles and Practices for a Federal Statistical Agency* (7th ed. 2021); see also *infra* Parts II–IV (documenting the Federal Reserve, Census/BLS, and SEC/FTC research operations).

³See *Bennett v. Spear*, 520 U.S. 154, 177–78 (1997) (final agency action must mark the consummation of decisionmaking and be one from which rights or obligations flow); 5 U.S.C. § 704.

⁴Information (Data) Quality Act, Pub. L. No. 106-554, § 515, 114 Stat. 2763, 2763A-153 (2000) (codified as a note to 44 U.S.C. § 3516); *Salt Inst. v. Leavitt*, 440 F.3d 156, 159 (4th Cir. 2006) (Act confers no private right of action and agency denials of correction requests are not reviewable); accord *Ams. for Safe Access v. HHS*, 399 F. App’x 314 (9th Cir. 2010).

⁵See *infra* Part III.C; U.S. Const. art. I, § 2, cl. 3; 13 U.S.C. § 141; 42 U.S.C. § 415(i) (Social Security cost-of-living adjustment keyed to the CPI); 26 U.S.C. § 1(f) (inflation adjustment of tax brackets).

supervisory stress tests set the capital requirements of the largest banks in the country, and the adequacy of an agency's economic analysis can be the difference between a rule that stands and a rule the D.C. Circuit vacates.⁶ When research is this consequential, the absence of a developed law governing it is not a curiosity but a problem.

This Note maps the problem along three dimensions—authority, scope, and impact—and develops them through three case studies chosen to span the field. Part I builds the general frame: it distinguishes the research function from the agency's other powers, offers a taxonomy of agency research, traces the sources of legal authority for it, and explains why the procedural law that governs it is so thin.

Parts II through IV take up the case studies, each a distinct model of how the research function is structured and constrained. Part II is the Federal Reserve—the model of *insulated* research. The Fed is funded outside the appropriations process, governed by removal-protected officials, and largely beyond the reach of the centralized review that disciplines executive-branch analysis; its research is the analytical engine of monetary policy, and its stress-test models have become de facto capital rules promulgated, until very recently, without notice and comment. Part III is the federal statistical system—the Census Bureau and the Bureau of Labor Statistics—the model of research that is *legally operative* on its face. Their numbers do not merely inform decisions; they *are* the decisions that the Constitution and dozens of statutes make self-executing, and they are protected by a confidentiality bargain that is itself a federal statute. Part IV is the economic-analysis agencies—the SEC and the FTC—the model of research as a *precondition to power*, in which courts have transformed internal cost-benefit and competition analysis into an enforceable prerequisite for valid action.

⁶See *infra* Parts II.D, IV.C; *Bus. Roundtable v. SEC*, 647 F.3d 1144 (D.C. Cir. 2011) (vacating Rule 14a-11 for inadequate economic analysis).

Part V draws the comparison together. It sets the three models side by side, identifies what I call the accountability paradox—the rough inverse relationship between a body of research’s influence and its reviewability—and situates the whole subject in the order left by *Loper Bright Enterprises v. Raimondo*, where the demise of *Chevron* deference has made the quality and integrity of the administrative record more important, not less.⁷ It then sketches the elements of a procedural law of agency research—disclosure of models and data, a meaningful correction mechanism, and statutory protection for scientific and statistical integrity—drawing on the Foundations for Evidence-Based Policymaking Act of 2018 as a template.

The empirical premise on which the argument rests—that agency research carries large and unevenly distributed downstream effects—is itself testable, and a separate study, presented as an empirical companion to this Note, undertakes to test it. Drawing on three free public data sources, that study measures the degree to which the research of the three clusters propagates into the scholarly literature, the judicial record, and the rulemaking record; its principal findings are reported in this Note at the points where they reinforce the doctrinal analysis, most directly in the discussion of the accountability paradox in Part V.⁸

A clarification of the argument’s limits is in order. This Note is not an indictment of agency research, which numbers among the most valuable undertakings of the modern administrative state; the federal statistical system in particular is a public good of the first order, and the research of the Federal Reserve and the economic-analysis agencies is, on the whole, careful and

⁷*Loper Bright Enters. v. Raimondo*, 144 S. Ct. 2244 (2024) (overruling *Chevron U.S.A. Inc. v. NRDC*, 467 U.S. 837 (1984)). On the renewed salience of the factual record under *Loper Bright* and *Motor Vehicle Manufacturers Ass’n v. State Farm Mutual Automobile Insurance Co.*, 463 U.S. 29 (1983), see *infra* Part V.C.

⁸The empirical companion, *Measuring the Fourth Function: The Scholarly, Judicial, and Regulatory Uptake of Federal-Agency Research* (2026), draws on OpenAlex (scholarly citation), CourtListener (judicial opinions), and the Federal Register (the rulemaking record), each a free public source used without proprietary access. Its descriptive findings—summarized *infra* Part V.B—are sufficient to establish the impact on which the present argument depends; its causal claims are framed there as exploratory.

conscientious work. The contention is rather that influence of this magnitude ought to be matched by a corresponding body of law, and that administrative law has not yet supplied one. The Note's aims are accordingly threefold: to identify the research function as a distinct object of study, to demonstrate how variously it is structured across the government, and to begin the task of bringing it within the discipline of the field.

I. The Research Function in Administrative Law

Before turning to the case studies, this Part establishes the frame. It distinguishes the research function from the agency's familiar powers (Section A), offers a working taxonomy of what agencies produce (Section B), locates the legal authority for the function (Section C), and explains why the procedural law that governs it is so unusually thin (Section D).

A. The Fourth Function

Administrative law inherited its basic vocabulary from the separation of powers. The agency's power to make rules is described as quasi-legislative; its power to decide cases as quasi-judicial; its power to investigate and enforce as executive. The Administrative Procedure Act tracks the division precisely, sorting agency action into "rule making" and "adjudication" and prescribing a distinct set of procedures for each.⁹ The scholarship that worries about agency power worries within these categories: about the breadth of delegated rulemaking authority, the fairness of agency adjudication, the aggregation of prosecutorial and adjudicative roles in one house.

Research fits none of the three. When the Bureau of Labor Statistics publishes the monthly jobs report, it makes no rule, decides no case, and prosecutes no one. The output is information. It changes no legal relation by its own force in the ordinary case; it informs the decisions of others—

⁹5 U.S.C. § 551(4)–(7) (defining "rule," "rule making," "order," and "adjudication"); *id.* §§ 553 (rulemaking), 554, 556–557 (adjudication). On the legislative/judicial framing, see *United States v. Florida East Coast Railway Co.*, 410 U.S. 224 (1973).

of Congress, of markets, of other agencies, of the public. The same is true of a Federal Reserve working paper on the natural rate of interest, an SEC staff study of market structure, or a Census Bureau estimate of the poverty rate. These are not commands. They are knowledge claims, offered with the authority of the sovereign—offered, that is, with the institutional authority of the United States.¹⁰ That last point is what makes the function legally interesting: the imprimatur of the state attaches to the knowledge, and others rely on it precisely because of that imprimatur.

It is tempting to file research under one of the existing headings—as a species of informal action, or as an input to rulemaking, or as a form of the agency’s general “housekeeping” authority. Each of these captures something. Research often is an input to rulemaking; the record that supports a rule is built in substantial part from agency studies and data. But to treat the function as merely instrumental to rulemaking is to miss most of it. The great bulk of agency research is never deployed in any particular rule. The unemployment rate, the SCF, the Beige Book, FRED—these exist independently of any pending proceeding, and their effects run through channels the rulemaking model does not capture: into the bond market, the academic literature, the congressional debate, the judicial opinion. The research function is better understood as a fourth function in its own right, parallel to the other three and governed, at present, by almost nothing. Figure 1 situates it.

¹⁰The production of official knowledge has a long pedigree as a distinct governmental task. See Theodore M. Porter, *Trust in Numbers: The Pursuit of Objectivity in Science and Public Life* (1995); cf. Wendy Wagner, *The Science Charade in Toxic Risk Regulation*, 95 Colum. L. Rev. 1613 (1995) (analyzing the entanglement of science and policy judgment in agency decisionmaking).

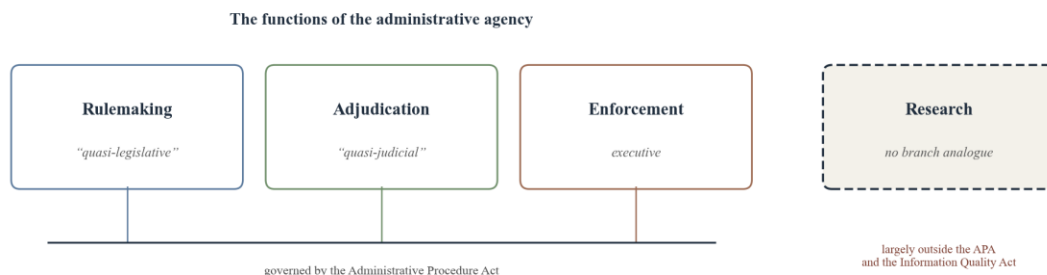


Figure 1. The functions of the administrative agency. The familiar three map onto the branches and are disciplined by the Administrative Procedure Act; the research function has no branch analogue and falls largely outside both the APA and the Information Quality Act.

B. A Taxonomy of Agency Research

“Agency research” is a capacious term, and the legal questions differ across its varieties.

A working taxonomy helps. One can sort the function along at least four dimensions.

Product. The most important distinction is among (i) official statistics—the recurring, methodologically standardized measurement of the economy and population (the CPI, the unemployment rate, GDP, the decennial count); (ii) data infrastructure—the curated public datasets and survey microdata that others build upon (FRED, the American Community Survey microdata, the SEC’s EDGAR-derived datasets); (iii) analysis and modeling—the construction of models and projections that translate data into inference (the Fed’s macro models and stress-test models, the SEC’s and FTC’s economic models); and (iv) studies and scholarship—discrete reports and working papers addressed to a particular question. Official statistics are the most rule-like, because they recur on a fixed schedule under a fixed method and are most likely to be incorporated into law; scholarship is the least.

Locus. Research may be produced in-house, by the agency’s own staff (the model in all three of this Note’s case studies), or extramurally, by funding outside researchers (the dominant model at the National Institutes of Health and the National Science Foundation). The legal questions diverge: the extramural model raises questions of grant administration, peer review, and

the conditions the government may attach to funded speech; the in-house model raises questions of personnel independence, political control, and the integrity of official outputs. This Note concentrates on the in-house model, where the agency speaks in its own name.

Function within the agency. Some research is mission-constitutive—the production of the statistics is the agency’s reason for being, as with the statistical agencies. Some is policy-supporting—research conducted to inform the agency’s own rules and decisions, as with the SEC’s and FTC’s economics divisions. And some is policy-independent in aspiration—research published to advance public understanding without regard to the agency’s immediate agenda, as much of the Federal Reserve’s working-paper output purports to be. The degree of insulation appropriate to each differs.

Legal operativeness. Finally, and for present purposes most importantly, agency research varies in how directly it operates as law. At one pole sits research that is legally self-executing: the census count that apportions the House the moment it is certified, the CPI figure that adjusts benefits and brackets by statutory formula. In the middle sits research with regulatory force that runs through an intermediate step: the stress-test result that becomes a capital requirement, the economic analysis that a court treats as a condition of a rule’s validity. At the far pole sits research with only persuasive force: the working paper that influences because it convinces. The thesis of this Note is that the law governing agency research is almost exactly inverted relative to this scale—the most legally operative research is the most litigated and constrained, while the most influential research is often the least.¹¹

¹¹This inversion is developed as the “accountability paradox” in Part V.B, *infra*.

C. The Sources of Legal Authority

Where does an agency's authority to conduct research come from? The answer is layered. At the base lie the organic statutes, which authorize research in three different registers. Some confer it expressly and make it the agency's defining task: Title 13 directs the Secretary of Commerce, through the Census Bureau, to take the decennial census and authorizes a wide range of surveys and statistical work; the statutes creating the Bureau of Labor Statistics charge it to "collect, collate, and report . . . information . . . upon the subject of labor."¹² Others confer research authority as an express but subsidiary power: the Federal Reserve Act empowers the Board to require reports and to collect and publish information in aid of its monetary and supervisory responsibilities.¹³ And many agencies conduct research under no express grant at all, relying on the incidental authority to do what is necessary and proper to their assigned missions—the SEC's and FTC's economics divisions are creatures of this implied authority as much as of any specific command.¹⁴

Layered atop the organic statutes is a set of cross-cutting statutes that regulate the research function generally. The Paperwork Reduction Act governs the collection of information from the public, requiring agencies to obtain clearance from the Office of Information and Regulatory Affairs before fielding a survey or imposing a reporting requirement—a control aimed at burden, but one that gives OIRA a gatekeeping role over the data-collection on which research depends.¹⁵

¹²13 U.S.C. §§ 141, 181–182, 193 (census and intercensal surveys); 29 U.S.C. § 1 (charging the Bureau of Labor Statistics to acquire and diffuse information on labor). The Census Bureau's authority is itself anchored in the constitutional command of an "actual Enumeration." U.S. Const. art. I, § 2, cl. 3.

¹³12 U.S.C. § 248(a) (authorizing the Board to require reports and to publish information); *id.* § 225a (monetary-policy objectives that the Board's research serves); *see infra* Part II.A.

¹⁴On incidental or "ancillary" authority, see *United States v. Midwest Oil Co.*, 236 U.S. 459 (1915); cf. 15 U.S.C. § 46(a) (FTC's express authority to gather and compile information concerning business conduct). The SEC's research is supported by, among others, 15 U.S.C. § 78w(a)(2) (rulemaking informed by efficiency, competition, and capital formation).

¹⁵Paperwork Reduction Act, 44 U.S.C. §§ 3501–3521; *id.* § 3507 (OIRA clearance of information collections). On OIRA's gatekeeping role generally, see *Dole v. United Steelworkers*, 494 U.S. 26 (1990).

The Confidential Information Protection and Statistical Efficiency Act—first enacted in 2002 and substantially strengthened by the Foundations for Evidence-Based Policymaking Act of 2018—erects the legal wall that makes the statistical system possible: it guarantees that information collected for statistical purposes under a pledge of confidentiality will be used only for those purposes and not for enforcement or administrative action against the respondent.¹⁶

Two further cross-cutting regimes bear directly on quality and integrity. The Information Quality Act directs the Office of Management and Budget to issue government-wide guidelines ensuring the “quality, objectivity, utility, and integrity” of information disseminated by agencies, and requires each agency to establish administrative mechanisms by which affected persons may seek correction of information that fails those standards.¹⁷ As Section D explains, the courts have read the Act to be judicially toothless, but it remains the only statute squarely addressed to the quality of agency information as such. Alongside it sits a softer regime of scientific-integrity policy—rooted in executive-branch memoranda rather than statute—under which agencies adopt policies insulating the conduct and communication of science from improper political interference.¹⁸

¹⁶Confidential Information Protection and Statistical Efficiency Act of 2018, 44 U.S.C. §§ 3561–3583, enacted as Title III of the Foundations for Evidence-Based Policymaking Act of 2018, Pub. L. No. 115-435, 132 Stat. 5529; *see also* Confidential Information Protection and Statistical Efficiency Act of 2002, Pub. L. No. 107-347, tit. V, 116 Stat. 2962. The 2018 Act also established the framework of Chief Data Officers, Evaluation Officers, and Statistical Officials across agencies.

¹⁷Information (Data) Quality Act § 515(a)–(b); OMB, *Guidelines for Ensuring and Maximizing the Quality, Objectivity, Utility, and Integrity of Information Disseminated by Federal Agencies*, 67 Fed. Reg. 8452 (Feb. 22, 2002).

¹⁸*See* Memorandum on Scientific Integrity, 74 Fed. Reg. 10671 (Mar. 9, 2009); Memorandum on Restoring Trust in Government Through Scientific Integrity and Evidence-Based Policymaking, 86 Fed. Reg. 8845 (Jan. 27, 2021); OSTP, *A Framework for Federal Scientific Integrity Policy and Practice* (Jan. 2023). These instruments are policy, not statute, and are revocable by successive administrations—a fragility discussed in Part V.D, *infra*.

D. The Thin Procedural Law of Research

Authority to conduct research is, then, abundant. Procedure to constrain it is not. The reason is structural: the Administrative Procedure Act is keyed to action that changes legal relations, and research, in the ordinary case, does not. Three doctrinal gates close in sequence.

First, research is rarely a “rule.” The APA defines a rule as an agency statement of general applicability designed to implement, interpret, or prescribe law or policy; a statistical release prescribes nothing.¹⁹ Because it is not a rule, its development triggers neither the notice-and-comment obligations of Section 553 nor the reasoned-decisionmaking discipline that attends rulemaking. The methodological choices that shape a statistic—how to seasonally adjust, how to impute missing values, how to protect confidentiality—are ordinarily made through internal technical processes, not public procedures.

Second, research is rarely “final agency action,” the touchstone of reviewability under the APA. Final action must mark the consummation of the agency’s decisionmaking and must be action “by which rights or obligations have been determined, or from which legal consequences will flow.” A report or dataset usually satisfies neither prong: it determines no one’s rights and produces no legal consequences by its own force. A would-be challenger therefore cannot get into court to contest the methodology or the conclusions.²⁰

Third, and most pointedly, the one statute aimed at the quality of agency information has been held to supply no cause of action. In *Salt Institute v. Leavitt*, the Fourth Circuit held that the Information Quality Act creates no private right of action and that an agency’s denial of a request

¹⁹ 5 U.S.C. § 551(4). A methodological choice embedded in a statistic could in principle be characterized as a rule—e.g., the formula for the CPI or the disclosure-avoidance method for the census—but agencies have generally not used notice-and-comment for such choices, and no statute requires it. See *infra* Part III.D (differential privacy).

²⁰ *Bennett v. Spear*, 520 U.S. 154, 177–78 (1997); 5 U.S.C. § 704. The principal exception is research that *is* legally operative—the census count, the CPI—where the downstream legal consequence supplies finality and a hook for review. See *infra* Part III.D.

to correct disseminated information is not reviewable under the APA, because the Act commits the design of correction mechanisms to agency discretion and identifies no “meaningful standard against which to judge” the agency’s exercise of it. Other courts have agreed. The upshot is that a person who believes a government statistic or study is wrong—even demonstrably, consequentially wrong—has no judicial remedy under the statute written for exactly that grievance.²¹

These three gates leave agency research in a near-vacuum of external legal control. There are exceptions, and they prove the rule. Where research is legally operative, the downstream consequence supplies the finality and the standing that the research alone would not, and the courts engage—hence the rich case law around the census, examined in Part III. Where a statute makes analysis a precondition to a rule, the rule’s reviewability drags the analysis into court along with it—hence the cost-benefit jurisprudence examined in Part IV. But these are channels by which research reaches review *indirectly*, through its connection to operative action. Research that influences without operating—the working paper, the data series, the staff study—remains beyond all of it. The case studies that follow show how three very different agencies have filled, or failed to fill, that vacuum.

II. The Federal Reserve: Research Behind a Wall of Independence

The Federal Reserve is the natural anchor for any study of the research function. No agency produces more consequential economic research, and none produces it from a position of comparable insulation. The Fed is funded outside the appropriations process, governed by officials whom the President cannot remove at will, and largely exempt from the centralized executive

²¹*Salt Inst. v. Leavitt*, 440 F.3d 156, 159 (4th Cir. 2006) (quoting *Heckler v. Chaney*, 470 U.S. 821, 830 (1985)); accord *Ams. for Safe Access v. HHS*, 399 F. App’x 314 (9th Cir. 2010); *Family Farm All. v. Salazar*, 749 F. Supp. 2d 1083 (E.D. Cal. 2010). The Act’s correction mechanism is thus internal and self-policed.

review that disciplines analysis elsewhere in the government. Its research is the analytical substrate of monetary policy, the most important economic decision the federal government makes; and in at least one domain—the supervisory stress test—its research has hardened into something indistinguishable from a binding rule, promulgated for most of its history without the procedures a rule would require. The Fed thus presents the model of *insulated* research in its purest form, and with it the sharpest version of this Note’s central problem: maximal influence paired with minimal external check.

A. Statutory and Institutional Architecture

The Federal Reserve Act of 1913 created a hybrid: a Board of Governors that is a federal agency in Washington and twelve regional Reserve Banks that are federally chartered corporations owned, formally, by their member banks.²² The Act assigns the Board a monetary-policy mandate—to promote “maximum employment, stable prices, and moderate long-term interest rates”—and equips it with broad authority to require reports from regulated institutions and to collect and publish information.²³ That informational authority is not an afterthought. Sound monetary policy presupposes an accurate, real-time picture of the economy, and the Act’s drafters understood data collection and analysis as instrumental to the central-banking function. The research enterprise grew up inside that instrumental logic and then far outgrew it.

Institutionally, the research function lives in several places at once. The Board’s Division of Research and Statistics and Division of International Finance staff the analysis that feeds the Federal Open Market Committee and produce the Board’s data releases and working-paper

²²Federal Reserve Act, ch. 6, 38 Stat. 251 (1913) (codified as amended in scattered sections of 12 U.S.C.). On the Reserve Banks’ unusual corporate form, see *Lebron v. Nat’l R.R. Passenger Corp.*, 513 U.S. 374 (1995) (discussing government-created corporations); *Scott v. Fed. Rsv. Bank of Kansas City*, 406 F.3d 532 (8th Cir. 2005).

²³12 U.S.C. § 225a (the “dual mandate,” though the statute names three objectives); *id.* § 248(a) (authority to require reports and to publish); *id.* § 248(i), (k) (supervisory and informational powers). Monetary policy is set by the Federal Open Market Committee. *Id.* § 263.

series.²⁴ Each of the twelve Reserve Banks maintains its own research department, several of which—New York, Chicago, San Francisco, and especially St. Louis—have become major research institutions in their own right. The Federal Reserve Bank of St. Louis operates FRED (Federal Reserve Economic Data), which has become the default public repository for American macroeconomic time series and a piece of national data infrastructure relied on far beyond the Fed.²⁵

B. The Scope of the Enterprise

The scale of the Federal Reserve’s research is difficult to overstate. By any bibliometric measure it ranks among the most prolific and most-cited economic-research institutions in the world, whether public or private—a proposition that the empirical companion to this Note documents in detail.²⁶ Beyond the working-paper series, the Fed conducts and publishes a suite of recurring research products that have become fixtures of economic life. The triennial Survey of Consumer Finances is the authoritative source on the wealth and balance sheets of American households, used across economics and increasingly in litigation and policy debate.²⁷ The Beige Book—the Summary of Commentary on Current Economic Conditions—is a qualitative research product published eight times a year ahead of FOMC meetings; the Senior Loan Officer Opinion

²⁴The Board’s working papers appear principally in the Finance and Economics Discussion Series (FEDS) and the International Finance Discussion Papers (IFDP). The staff also prepares the confidential “Tealbook” (formerly the “Greenbook” and “Bluebook”) for each FOMC meeting—an internal research product of unusual policy weight, released to the public only after a five-year lag.

²⁵FRED aggregates hundreds of thousands of time series from the Federal Reserve and other producers and is relied upon throughout research, journalism, and the markets; its centrality is itself a notable instance of an agency’s research product becoming public infrastructure. The breadth of the Reserve Banks’ research output is quantified in the empirical companion to this Note.

²⁶The companion’s data, drawn from OpenAlex, place the Board of Governors’ catalogued research output in the tens of thousands of works and its cumulative citations in the hundreds of thousands, with the New York and St. Louis Reserve Banks contributing substantially more. These figures are necessarily approximate and should be read subject to the institution-level attribution caveats discussed in the companion.

²⁷The Survey of Consumer Finances, conducted by the Board with the cooperation of the Department of the Treasury, is the principal U.S. source for household-level data on assets, debts, and net worth; it is the empirical basis for much of the literature on wealth inequality.

Survey tracks credit conditions; and a constant stream of staff analysis informs the Fed’s supervisory and financial-stability work.

Two features of this scope matter for the legal analysis. First, almost none of it is produced through any public procedure. The methodologies of the SCF, the construction of the Fed’s macroeconomic models, the judgments embedded in the staff forecasts—these are technical choices made internally, by professional staff, without notice and comment and without any statutory quality standard enforceable by an outsider. Second, the Fed’s research is unusually intertwined with its exercise of hard power. The same staff that publishes working papers builds the models that set bank capital requirements. The line between research and regulation, elsewhere reasonably clear, is at the Fed deliberately blurred—which is the subject of Section D.

C. Authority, Independence, and the Absence of External Check

What most distinguishes the Fed’s research function is the structure of insulation that surrounds it. Three features compound. The first is budgetary. The Federal Reserve does not receive appropriations; it funds itself from the earnings on its securities portfolio and remits the surplus to the Treasury. Because its research is paid for outside the appropriations process, it is beyond the reach of the appropriations riders and committee pressures that Congress uses to steer the research of ordinary agencies.²⁸

The second is personnel. Governors are appointed to fourteen-year terms and are widely understood to be removable only for cause, a protection the Supreme Court has gone out of its way to treat as constitutionally distinct from that of other independent agencies.²⁹ That insulation,

²⁸12 U.S.C. §§ 243–244 (Board expenses funded by assessments on the Reserve Banks, not appropriations); *id.* § 289 (remittance of Reserve Bank surplus to the Treasury). On the constitutional implications of the Fed’s funding structure, compare *CFPB v. Community Financial Services Ass’n*, 601 U.S. 416 (2024) (upholding the Bureau’s non-appropriated funding under the Appropriations Clause).

²⁹*See Seila Law LLC v. CFPB*, 591 U.S. 197, 222 n.8 (2020) (distinguishing the Federal Reserve as a “uniqu[e]” institution with a historical pedigree tracing to the First and Second Banks of the United States); *Trump v. Wilcox*, No.

designed to protect monetary policy from short-term political pressure, extends as a practical matter to the research that supports it: the staff economists who build the models and write the papers operate at a further remove from electoral politics than their counterparts almost anywhere else in the government.

The third is procedural. The cross-cutting regimes that touch agency research elsewhere apply weakly or not at all to the Fed. As an independent agency it has historically stood outside the centralized regulatory review that the Office of Information and Regulatory Affairs conducts under Executive Order 12866, so its analysis is not subjected to OIRA scrutiny.³⁰ It is subject to the Information Quality Act in form, but the Act, as Part I.D explained, supplies no external remedy. And because its research is not a rule and rarely final agency action, the APA offers no purchase. The net effect is a research enterprise of extraordinary influence operating with almost no external legal check on its methods or conclusions—checked instead by professional norms, peer review, and the Fed’s own reputational stake in being right. For most of the Fed’s research, those informal checks are robust. The difficulty arises where research crosses into regulation.

D. Impact: When Research Becomes a Rule

The clearest illustration of the research function’s power—and of the inadequacy of the law governing it—is the Federal Reserve’s supervisory stress test. After the 2008 financial crisis, the Dodd-Frank Act directed the Fed to conduct annual stress tests of the largest bank holding

24A966 (U.S. May 22, 2025) (staying lower-court reinstatement of removed officials while signaling that the Federal Reserve stands on different footing from other multimember agencies). The for-cause protection of Governors is codified at 12 U.S.C. § 242.

³⁰Exec. Order No. 12866, 58 Fed. Reg. 51735 (Oct. 4, 1993), § 3(b) (defining “agency” to exclude independent regulatory agencies for purposes of centralized review). Proposals to extend OIRA review to independent agencies have recurred without success. *See* Exec. Order No. 14215, 90 Fed. Reg. 10447 (Feb. 18, 2025) (asserting greater presidential supervision of independent agencies).

companies, projecting their losses and capital under hypothetical adverse scenarios.³¹ The test is, at bottom, a research exercise: the Fed designs macroeconomic scenarios and runs the supervised firms’ portfolios through models—built and maintained by Fed staff—that translate those scenarios into projected losses. But the output is not a working paper. It feeds directly into each firm’s “stress capital buffer,” and thus into the amount of capital the firm must hold and the dividends and buybacks it may make. In this setting, research *is* regulation.

For most of the program’s history, the Fed declined to disclose the models in full or to subject the scenarios and modeling choices to notice-and-comment rulemaking, treating them as supervisory and deliberative. The banks objected that a process producing binding capital requirements through undisclosed models was a rule in all but name, promulgated in violation of the APA’s procedural requirements—an objection that gained force as the capital consequences grew.³²

The dispute came to a head in the mid-2020s. After years of incremental disclosure, the Fed announced in December 2024 that it would propose to subject the stress-test models and scenario framework to public notice and comment, a significant concession to the view that the exercise had become a rule; litigation by the banking trade groups followed to preserve their claims and press for faster reform.³³

³¹Dodd-Frank Wall Street Reform and Consumer Protection Act § 165(i), 12 U.S.C. § 5365(i) (supervisory and company-run stress tests). The Fed implemented the mandate through its Comprehensive Capital Analysis and Review (CCAR) and the related Dodd-Frank Act Stress Test (DFAST).

³²The critique was pressed most prominently by the Bank Policy Institute. See Bank Pol’y Inst., comment letters and white papers on stress-testing transparency (2017–2024). The legal theory is that the stress-test models and scenarios are legislative rules under 5 U.S.C. § 553 because they determine capital requirements with the force of law, and that their adoption without notice and comment is therefore unlawful. Cf. *Appalachian Power Co. v. EPA*, 208 F.3d 1015 (D.C. Cir. 2000) (guidance that operates as a binding norm is a reviewable rule).

³³See Bd. of Governors of the Fed. Rsrv. Sys., Press Release, *Federal Reserve Board announces it will seek public comment on significant changes to improve the transparency of its stress tests* (Dec. 23, 2024); *Bank Policy Institute v. Board of Governors* (filed 2024) (challenge by banking trade associations seeking, among other things, notice-and-comment procedures for the stress-test framework). The precise procedural posture continued to evolve through 2025;

The stress-test episode is the research function's difficulty in microcosm. A body of agency research—models and scenarios produced by economists—was permitted to operate as a binding rule for more than a decade without the procedures that bind rules, precisely because it was framed as research and supervision rather than rulemaking. The eventual move toward notice and comment did not come from the Information Quality Act, which could not reach it, or from ordinary APA review of the research itself, which the finality doctrine blocks, but from the downstream regulatory consequence that finally gave the banks a rule to sue over. That is the accountability paradox in action, and Part V returns to it. First, two contrasting models.

III. The Federal Statistical System: Census, BLS, and Numbers with Legal Force

If the Federal Reserve shows research insulated from law, the federal statistical system shows research fused with it. The Census Bureau and the Bureau of Labor Statistics produce numbers that are not merely influential but legally operative: the decennial count apportions the House of Representatives by constitutional command, and the Consumer Price Index adjusts, by statutory formula, the income of tens of millions of Americans and the obligations of the Treasury. Here the research function is most visible to law precisely because its outputs do legal work directly—and, as a result, here the law of agency research is richest, developed through a century of statutes and a generation of high-profile litigation.

A. The Constitutional and Statutory Mandate

The census is the rare agency research program with a constitutional charter. Article I requires an “actual Enumeration” of the population every ten years, conducted “in such Manner as [Congress] shall by Law direct,” for the purpose of apportioning representatives and direct taxes

the point for present purposes is the concession of principle—that a research-built supervisory tool with capital consequences belongs, at least in part, inside the APA.

among the States.³⁴ Congress has implemented that command through Title 13, which establishes the Census Bureau, authorizes the decennial enumeration and a broad program of intercensal surveys, and—critically—imposes a strict regime of confidentiality on the information collected.³⁵ The Bureau of Labor Statistics rests on a humbler but still venerable footing: created in the nineteenth century and charged by statute to “collect, collate, and report . . . full and complete information . . . upon the subject of labor,” it produces the Consumer Price Index, the unemployment rate, and the productivity and earnings statistics that anchor economic policy.³⁶

B. Scope and the Confidentiality Bargain

The statistical agencies are research institutions whose mission *is* the production of official data, and their legitimacy rests on a bargain that the law makes explicit: respondents must answer truthfully—census response is legally compelled—and in exchange the government promises that their individual information will be used for statistical purposes only and never turned against them. Title 13 makes census responses confidential and bars their use for any non-statistical purpose; the Confidential Information Protection and Statistical Efficiency Act generalizes the same guarantee across the statistical system.³⁷ This confidentiality bargain is the statistical system’s defining legal feature, and it cuts in a direction opposite to transparency: the integrity of

³⁴U.S. Const. art. I, § 2, cl. 3; amended in relevant part by U.S. Const. amend. XIV, § 2. Congress has exercised its directive authority chiefly through Title 13 of the U.S. Code.

³⁵13 U.S.C. § 141 (decennial census and related surveys); *id.* §§ 181–182 (current surveys and statistics); *id.* § 193 (preliminary and supplemental statistics). The American Community Survey, which replaced the decennial “long form,” is conducted under this authority.

³⁶29 U.S.C. § 1 (duties of the Bureau of Labor Statistics). The BLS is one of the principal federal statistical agencies recognized by the Office of Management and Budget; the system as a whole comprises more than a dozen such units coordinated under OMB’s statistical-policy authority. *See* 44 U.S.C. § 3504(e) (OMB statistical-policy functions).

³⁷13 U.S.C. § 9 (census confidentiality; information may not be used “to the detriment of” respondents and individual returns are not subject to legal process); *id.* § 214 (criminal penalties for wrongful disclosure); CIPSEA, 44 U.S.C. §§ 3561–3583 (statistical-confidentiality regime and penalties). The bargain is not merely ethical but constitutional in its sensitivity: the misuse of census data to identify Japanese Americans for internment during World War II is the cautionary case. *See* William Seltzer & Margo Anderson, *After Pearl Harbor: The Proper Role of Population Data Systems in Time of War* (2000).

the research depends on the government's *withholding* the underlying microdata, which it may release only in forms that protect individual identities. That tension—between the openness that scientific credibility demands and the secrecy that the confidentiality promise requires—drives the most important recent controversy in the field, discussed in Section D.

C. Statistics That Bind

What makes the statistical agencies the paradigm of legally operative research is that their numbers are incorporated into law as self-executing inputs. The decennial population count, once certified to the President, apportions the seats of the House of Representatives among the States by a fixed mathematical method; no further agency decision intervenes, and the reapportionment follows automatically.³⁸ The same is true of the Consumer Price Index. By statute, the annual Social Security cost-of-living adjustment is computed from the CPI; the principal of Treasury Inflation-Protected Securities is indexed to it; and the brackets, the standard deduction, and dozens of other parameters of the federal income tax are adjusted for inflation by reference to it.³⁹ A statistic of this kind is research that legislates. A decision about how to measure inflation—whether to use a chained index, how to handle quality change and substitution—moves tens of billions of dollars between the government and the public, yet it is made through the technical processes of a statistical agency, not through notice-and-comment rulemaking or legislation. The 1990s debate

³⁸2 U.S.C. §§ 2a–2b (apportionment by the “method of equal proportions,” computed from the certified census results and transmitted to the States). The census results also drive the redistricting that follows and the allocation of a large share of federal grant funds. *See* Andrew Reamer, *Counting for Dollars 2020* (George Wash. Univ. 2020) (estimating that census-derived data guide the distribution of well over a trillion dollars in federal funds annually).

³⁹42 U.S.C. § 415(i) (Social Security COLA keyed to the CPI-W); 26 U.S.C. § 1(f) (inflation adjustment of tax parameters, now using the Chained CPI-U following the Tax Cuts and Jobs Act of 2017, Pub. L. No. 115-97, § 11002); 31 C.F.R. pt. 356 (Treasury Inflation-Protected Securities indexed to the CPI-U). A change in CPI methodology therefore alters federal outlays and revenues by billions of dollars without any further legislative or rulemaking act.

over the Boskin Commission’s finding that the CPI overstated inflation was, in substance, a debate about the federal budget conducted in the vocabulary of measurement.⁴⁰

D. Impact and Contestation

Because statistical outputs are legally operative, they are reviewable in a way that most agency research is not: the downstream legal consequence supplies the finality and the standing that a bare dataset lacks. The result is a body of litigation in which courts have confronted statistical methodology directly. Two Supreme Court decisions frame the field. In *Department of Commerce v. United States House of Representatives*, the Court held that the Census Act barred the use of statistical sampling to produce the population counts used for apportionment; in *Utah v. Evans*, it held that a different technique—“hot-deck” imputation to fill gaps—was permissible because it was not “sampling” within the statutory prohibition.⁴¹ The methodological choices of a research agency, ordinarily immune from review, became justiciable because they determined the composition of Congress.

The most consequential modern confrontation came in *Department of Commerce v. New York*, the census citizenship-question case. The Court accepted that the Secretary of Commerce had statutory authority to add a citizenship question, but it nonetheless set the decision aside as arbitrary under the APA, holding that the Secretary’s stated rationale was pretextual—a contrived justification that “did not match” the agency’s real reasons.⁴² *Department of Commerce v. New*

⁴⁰See Advisory Comm’n to Study the Consumer Price Index, *Toward a More Accurate Measure of the Cost of Living* (1996) (the “Boskin Report”), which estimated that the CPI overstated the cost of living by roughly 1.1 percentage points annually, with large implied consequences for indexed federal programs and the debt.

⁴¹*Dep’t of Commerce v. U.S. House of Representatives*, 525 U.S. 316 (1999) (statutory bar on sampling for apportionment, 13 U.S.C. § 195); *Utah v. Evans*, 536 U.S. 452 (2002) (imputation permissible and distinguishable from sampling). These cases are, at root, judicial review of the Census Bureau’s research methodology, made possible because the methodology drives apportionment.

⁴²*Dep’t of Commerce v. New York*, 588 U.S. 752, 785 (2019) (“[T]he VRA enforcement rationale—the sole stated reason—seems to have been contrived. . . . [W]e are presented [with] an explanation for agency action that is incongruent with what the record reveals about the agency’s priorities and decisionmaking process.”). The citizenship question implicated the count itself: evidence suggested it would depress response among noncitizen households and

York is, for present purposes, a landmark of the law of agency research: it holds that when an agency’s research design is driven by an undisclosed or pretextual purpose, the courts will police the integrity of the process even where the agency had authority to act. It is the closest the law comes to a judicial guarantee of research integrity—available, however, only because the research output (the count) carried direct legal consequences.

The confidentiality bargain has generated its own modern crisis. For the 2020 Census, the Bureau adopted a new “disclosure avoidance system” based on differential privacy—injecting calibrated statistical noise into published tables to make it mathematically harder to re-identify individuals from the released data. The method responded to a real threat: the Bureau’s own research showed that modern computing made the old swapping techniques inadequate against reconstruction attacks. But the noise degraded the accuracy of small-area data on which redistricting and funding depend, prompting litigation by States that argued the Bureau had traded away the accuracy the Constitution requires.⁴³ The differential-privacy fight is the statistical-system analogue of the Fed’s stress-test fight: a methodological choice with enormous distributive consequences, made by research staff under a statutory mandate, contested after the fact through whatever downstream legal hook the challengers could find. The difference is that here the hook exists—because the output is operative—whereas at the Fed the hook had to be manufactured from the regulatory consequence.

so distort the enumeration. *See also Alabama v. Department of Commerce*, No. 3:21-cv-211 (M.D. Ala. 2021) (three-judge court) (challenge to the Bureau’s differential-privacy method, dismissed for lack of standing/ripeness).

⁴³On the 2020 disclosure-avoidance system and the reconstruction-attack rationale, see John M. Abowd et al., *The 2020 Census Disclosure Avoidance System*, 8 Harv. Data Sci. Rev. (2023). The challenge in *Alabama v. Department of Commerce*, *supra*, contended that differential privacy produced data too inaccurate for redistricting; it was dismissed without reaching the merits. The episode illustrates the structural tension of the confidentiality bargain: the same statute (13 U.S.C. § 9) that compels the privacy protection is in tension with the accuracy that the apportionment and redistricting uses demand.

IV. The Economic-Analysis Agencies: Research as a Precondition to Power

The third model inverts the Federal Reserve's. Where the Fed's research floats largely free of legal control, the research of the economic-analysis agencies has been pulled directly into administrative law and made a condition of the agency's authority to act. The Securities and Exchange Commission and the Federal Trade Commission both maintain standing economics divisions whose work supports the agency's rules and enforcement. But at the SEC in particular, the courts have transformed that internal analysis into an enforceable prerequisite: a rule unsupported by adequate economic analysis is, in the D.C. Circuit, an unlawful rule. Here the research is neither insulated nor self-executing; it is a gate through which the agency must pass, policed by judicial review of the rules it supports.

A. The Statutory Duty to Analyze

The SEC's analytical obligation has a statutory root. When the Commission engages in rulemaking under the securities laws, several provisions direct it to consider, in addition to investor protection, "whether the action will promote efficiency, competition, and capital formation."⁴⁴ That clause, modest on its face, is the hook on which the modern jurisprudence hangs. It directs the agency to bring evidence and analysis to bear on the economic consequences of its rules, and—because SEC rules are reviewable—gives a reviewing court a statutory standard against which to test the adequacy of the agency's research. The FTC operates under a different statutory architecture, with broad authority to study and report on business conduct and a long institutional

⁴⁴15 U.S.C. § 77b(b) (Securities Act); *id.* § 78c(f) (Securities Exchange Act); *id.* § 80a-2(c) (Investment Company Act). These "efficiency, competition, and capital formation" clauses were added or strengthened by the National Securities Markets Improvement Act of 1996, Pub. L. No. 104-290, and the Gramm-Leach-Bliley Act of 1999.

tradition of economic analysis in both its competition and consumer-protection work, but without an equally pointed statutory analysis-forcing clause.⁴⁵

Independent agencies like the SEC and FTC sit outside the centralized cost-benefit review that governs executive-branch agencies. Executive Order 12866 exempts independent regulatory agencies from the Office of Information and Regulatory Affairs review and from the formal cost-benefit requirements of OMB Circular A-4. Their analytical discipline therefore does not come from the executive supervision that shapes, say, EPA rulemaking; it comes instead from statute and, above all, from the courts.⁴⁶

B. Scope: DERA and the Bureau of Economics

The institutional carriers of this function are the SEC’s Division of Economic and Risk Analysis and the FTC’s Bureau of Economics. DERA—created in 2009 in the wake of the financial crisis and given its current name in 2013—supplies the economic analysis that supports the Commission’s rules, conducts risk analysis and market-structure research, and increasingly builds the data infrastructure (drawn from EDGAR filings and market data) on which both the Commission and outside researchers rely.⁴⁷ The FTC’s Bureau of Economics is older and, in the antitrust world, foundational: its economists evaluate the competitive effects of mergers and

⁴⁵15 U.S.C. § 46(a)–(b) (FTC authority to investigate and require reports on business practices); *id.* § 49 (investigative powers). The FTC’s competition analysis is structured by the agencies’ Merger Guidelines, see U.S. Dep’t of Justice & FTC, *Merger Guidelines* (2023), which are themselves a form of analytical framework rather than legislative rule.

⁴⁶Exec. Order No. 12866 § 3(b), 58 Fed. Reg. 51735 (1993); OMB Circular A-4 (2003; revised 2023) (cost-benefit guidance binding on executive agencies). The SEC has nonetheless adopted internal guidance modeled on A-4. See SEC, *Current Guidance on Economic Analysis in SEC Rulemakings* (2012) (issued by the General Counsel and the Chief Economist after the *Business Roundtable* defeat).

⁴⁷The Division of Economic and Risk Analysis was established as the Division of Risk, Strategy, and Financial Innovation in 2009 and renamed in 2013. Its role expanded markedly after *Business Roundtable*, when economic analysis became a litigation-critical input to rulemaking. See *infra* Section C.

conduct, produce merger retrospectives and industry studies, and supply the empirical backbone of the agency's competition and consumer-protection cases.⁴⁸

C. Impact: Research with APA Teeth

The defining feature of this model is that the agency's research is reviewable—not directly, but through the rules it supports. A line of D.C. Circuit decisions has made the adequacy of the SEC's economic analysis a condition of the validity of its rules, converting an internal research product into a legal chokepoint. The landmark is *Business Roundtable v. SEC*, which vacated the Commission's proxy-access rule because the agency had “inconsistently and opportunistically framed the costs and benefits,” “failed adequately to quantify the certain costs,” and neglected the rule's likely economic effects.⁴⁹ *Business Roundtable* did not stand alone. In *Chamber of Commerce v. SEC* the court had earlier faulted the Commission for failing to assess the costs of a mutual-fund governance rule, and in *American Equity Investment Life Insurance Co. v. SEC* it vacated a rule for an inadequate efficiency-competition-capital formation analysis.⁵⁰

The consequence has been a transformation of the agency's internal research practice. After *Business Roundtable*, the SEC issued internal guidance formalizing the economic analysis that must accompany every significant rulemaking, expanded DERA, and embedded its economists at the center of the rule-writing process. Research that had once been advisory became, in effect, a

⁴⁸The Bureau of Economics traces its lineage to the FTC's creation in 1914 and the earlier Bureau of Corporations. Its retrospectives—studies of consummated mergers—are a notable example of an agency studying the effects of its own enforcement choices, a form of research with few analogues elsewhere.

⁴⁹*Bus. Roundtable v. SEC*, 647 F.3d 1144, 1148–49 (D.C. Cir. 2011) (vacating Rule 14a-11). The court grounded its review in the SEC's statutory obligation to consider efficiency, competition, and capital formation, and in the arbitrary-and-capricious standard of 5 U.S.C. § 706(2)(A).

⁵⁰*Chamber of Commerce v. SEC*, 412 F.3d 133, 143–44 (D.C. Cir. 2005); *Am. Equity Inv. Life Ins. Co. v. SEC*, 613 F.3d 166, 177–79 (D.C. Cir. 2010). Together with *Business Roundtable*, these decisions are often described as having imposed a judicially enforced cost-benefit requirement on the SEC.

litigation-driven compliance function—its rigor demanded not by a quality statute but by the prospect that a thin analysis would doom the rule.⁵¹

This model has acquired new salience after *Loper Bright Enterprises v. Raimondo*. With *Chevron* deference gone, courts no longer defer to an agency’s reasonable interpretation of an ambiguous statute; but the arbitrary-and-capricious review of the agency’s factual and analytical work survives intact, and arguably matters more. An agency can no longer lean on interpretive deference to carry a contested rule; it must instead build a record—of data, analysis, and reasoned explanation—strong enough to survive hard-look review on the merits.⁵² The economic-analysis model—research as a precondition to power—is thus poised to become more, not less, central to the administrative state as a whole. What the SEC has experienced since 2011, more agencies may experience now: the quality of their research is the measure of their power to act.

V. Authority, Scope, and Impact: Three Models Compared

The three case studies are three answers to the same question—how should the law structure an agency’s production of knowledge?—and they answer it in strikingly different ways. This Part draws the comparison together (Section A), identifies the paradox that emerges from it (Section B), situates the whole subject in the post-*Chevron* order (Section C), and sketches the elements of a procedural law of agency research (Section D).

⁵¹See SEC, *Current Guidance on Economic Analysis in SEC Rulemakings* (2012). Commentators have debated whether the judicial turn improved rulemaking or chilled it. Compare Bruce Kraus & Connor Raso, *Rational Boundaries for SEC Cost-Benefit Analysis*, 30 Yale J. on Reg. 289 (2013), with Jeffrey N. Gordon, *The Empty Call for Benefit-Cost Analysis in Financial Regulation*, 43 J. Legal Stud. S351 (2014).

⁵²*Loper Bright Enters. v. Raimondo*, 144 S. Ct. 2244 (2024); see *Motor Vehicle Mfrs. Ass’n v. State Farm Mut. Auto. Ins. Co.*, 463 U.S. 29, 43 (1983) (arbitrary-and-capricious review of the agency’s reasoning and evidence). The post-*Loper Bright* premium on the administrative record is taken up in Part V.C, *infra*.

A. Three Models of the Research Function

The models differ along the three axes that organize this Note. On *authority*, all three rest on secure statutory ground, but of different kinds: the Fed’s research authority is subsidiary to its monetary mission and shielded by structural independence; the statistical agencies’ authority is mission-constitutive and, for the census, constitutionally commanded; the economic-analysis agencies’ authority is tethered to rulemaking and made a condition of it. On *scope*, the Fed’s enterprise is the largest and most varied, the statistical agencies’ the most standardized and recurring, the economics agencies’ the most tightly coupled to specific decisions. On *impact*, the inversion that drives this Note appears: the Fed’s research is the most influential and the least legally checked; the statistical agencies’ research is legally operative and correspondingly the most litigated; the economics agencies’ research is a reviewable precondition and so disciplined directly by the courts. Table 1 summarizes.

Table 1. Three models of the federal research function.

Dimension	Federal Reserve (insulated)	Census / BLS (operative)	SEC / FTC (precondition)
Statutory basis	Subsidiary to monetary mandate; broad data authority	Mission-constitutive; census constitutionally commanded	Tied to rulemaking; analysis-forcing clauses
Independence	High: off-budget, for-cause removal, outside OIRA	Moderate: within executive branch; statistical-integrity norms	Moderate: independent agencies, outside OIRA review
Legal operativeness	Mostly persuasive; stress tests are an exception	Self-executing (apportionment, CPI indexing)	Precondition to valid rules
Primary check	Professional norms; reputation; little external law	Litigation via downstream legal consequence	Hard-look review of the rules it supports
Signature dispute	Stress-test models as unacknowledged rules	Citizenship question; sampling; differential privacy	Business Roundtable and cost-benefit adequacy

B. The Accountability Paradox

Set side by side, the three models reveal a striking inversion. The more legally operative a body of agency research is, the more law governs it; the more merely influential it is, the less. The census count and the Consumer Price Index—research that legislates—are constrained by

constitutional command, detailed statute, and an extensive body of case law, because their direct legal consequences supply the finality and the standing that invite review. The economic analysis of the SEC—research as precondition—is disciplined by hard-look review because it is bound to reviewable rules. The Federal Reserve’s working papers, models, and forecasts, by contrast—research that may be the most influential of all, informing the interest-rate decisions that move the entire economy—are subject to almost no external law, precisely because they do not, in the ordinary case, operate as law.

This is the accountability paradox: legal control over agency research tracks the research’s legal operativeness rather than its real-world influence. The two diverge most sharply at the Federal Reserve, where influence is maximal and operativeness—and hence legal control—is minimal, until research crosses into regulation, as with the stress tests, at which point the law responds only belatedly, through whatever downstream basis for review it can find. The paradox is not a charge that the Federal Reserve’s research is deficient; the informal checks of peer review, professional norms, and reputational stake perform a genuine function, and the case for central-bank independence is a strong one. The point is rather that the field possesses no *general* account of when and how the research function should be subject to legal discipline—that it reaches research only incidentally, by way of operative consequences, and so superintends the function in inverse proportion to its importance. Figure 2 maps the three models against the two axes the paradox places in tension.

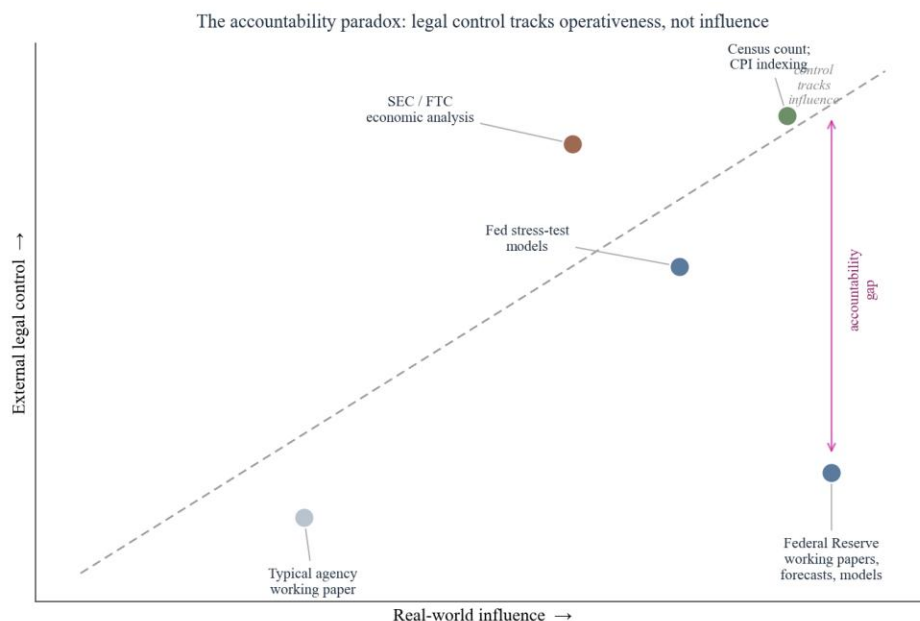


Figure 2. The accountability paradox. External legal control over a body of agency research tracks its legal operativeness rather than its real-world influence, opening an accountability gap—largest at the Federal Reserve—between how much research matters and how much law reaches it.

The empirical companion to this Note supplies direct evidence of the divergence. By cumulative scholarly citation, the Federal Reserve is by a wide measure the most influential research producer among the agencies examined—the Board of Governors alone has accumulated on the order of three-quarters of a million citations, exceeding the combined totals of the Census Bureau, the Bureau of Labor Statistics, the SEC, and the FTC. Yet the Federal Reserve’s flagship research products are almost wholly absent from the judicial record: its triennial Survey of Consumer Finances appears in a mere handful of opinions, and its Beige Book and Senior Loan Officer Opinion Survey in none, whereas the Consumer Price Index appears in several thousand and Bureau of Labor Statistics data in nearly two thousand. The institution with the largest research enterprise thus leaves the smallest footprint in the corpus where legal consequences are determined—the accountability paradox observed directly in the data.⁵³

⁵³These figures are drawn from the empirical companion, *Measuring the Fourth Function*, *supra*, which reports the underlying counts and the measurement caveats in full. In brief: OpenAlex cumulative-citation counts for the Board of Governors approach 760,000, against roughly 173,000 for the Census Bureau and 92,000 for the Bureau of Labor Statistics; CourtListener returns several thousand opinions mentioning the Consumer Price Index against single digits

C. Research in the Post-Chevron Order

Two doctrinal shifts of the 2020s raise the stakes. First, *Loper Bright* ended *Chevron* deference. The immediate effect is on statutory interpretation, but the deeper effect runs to the administrative record. Stripped of deference on legal questions, agencies must win on the strength of their reasoning and evidence; the quality of the agency’s research—the analysis, the data, the modeling that supports a rule—becomes the agency’s principal defense. The economic-analysis model of Part IV, in which research adequacy is the measure of regulatory validity, is in this sense the future of administrative law writ large.⁵⁴

Second, the major-questions doctrine and the pretext holding of *Department of Commerce v. New York* supply new tools for policing the integrity of agency research. The major-questions doctrine demands clear congressional authorization for decisions of vast economic and political significance, which may include the methodological choices embedded in consequential statistics. And the pretext doctrine holds that a court will look behind an agency’s stated rationale to its actual one—a principle with obvious application to research whose design is shaped by an undisclosed purpose.⁵⁵ Together these developments point toward a future in which agency research is more contested and more consequential in litigation—which makes the absence of a coherent procedural framework for it more pressing.

for the Survey of Consumer Finances. The companion treats the causal question—whether agency research leads or follows policy attention—as exploratory.

⁵⁴*Loper Bright*, 144 S. Ct. 2244; see also *Ohio v. EPA*, 603 U.S. 279 (2024) (vacating a rule for inadequate response to comments, an exacting application of hard-look review). The combined message is that the administrative record—and the research within it—bears more weight than before.

⁵⁵*West Virginia v. EPA*, 597 U.S. 697 (2022) (major-questions doctrine); *Dep’t of Commerce v. New York*, 588 U.S. 752 (2019) (pretext). Together they suggest a nascent doctrine of research integrity: that consequential methodological choices require clear authority and honest justification.

D. Toward a Procedural Law of Research

What would it mean to bring the research function inside administrative law? Not, certainly, to subject every working paper to notice and comment; that would be ruinous to the very thing that makes agency research valuable. The aim is more modest: a graduated set of procedural commitments keyed to the research's operativeness and influence. Three elements suggest themselves.

Disclosure of models and methods. Where agency research operates as a rule—the stress-test models, the census disclosure-avoidance system, the CPI methodology—the public should be entitled to know how it works and, where feasible, to comment before it is fixed. The Fed's belated move toward notice and comment for its stress-test framework is a model that could be generalized: a presumption that research-built tools with direct legal consequences carry rulemaking-like transparency obligations.⁵⁶

A correction mechanism with genuine force. The Information Quality Act promised a means of correcting erroneous government information and then, as read by the courts, delivered none. A meaningful version would give affected persons a genuine administrative remedy—and, for operative research, a limited avenue of judicial review of the agency's refusal to correct demonstrable error—without opening every statistic to litigation. The existing toothlessness of the Act is a choice, not a necessity.⁵⁷

Statutory protection for research integrity. The scientific- and statistical-integrity protections that now insulate agency research from improper interference rest largely on executive

⁵⁶This need not mean full notice-and-comment for every methodological choice; a tiered approach—publication of methods, an opportunity for technical comment, and a reasoned response—would capture most of the benefit at far lower cost. Cf. the peer-review and information-quality practices already used by the statistical agencies.

⁵⁷See *Salt Inst. v. Leavitt*, 440 F.3d 156 (4th Cir. 2006). Congress could supply the “meaningful standard” whose absence the court found dispositive, e.g., by specifying correction procedures and a narrow standard of review for operative information.

memoranda, revocable at will. The Foundations for Evidence-Based Policymaking Act of 2018 shows the alternative: it placed the confidentiality bargain, the role of statistical officials, and the architecture of evidence-building on a statutory footing. Extending comparable statutory protection to the integrity of official statistics and research—insulating the *conduct* and *release* of the work from political manipulation, as distinct from the policy uses to which it is put—would secure the function’s credibility against the cycle of administrations.⁵⁸

Conclusion

The administrative agency performs four functions, not three. Alongside the rulemaking, adjudication, and enforcement that administrative law has spent a century disciplining, agencies produce knowledge—statistics, datasets, models, and studies—on a scale, and with an influence, that the field has scarcely begun to theorize. This Note has sought to furnish that fourth function with an administrative-law account: to locate its legal authority, to map its scope, and to take the measure of its impact.

The three case studies demonstrate how variously the function may be structured. The Federal Reserve produces the most influential economic research in the country from behind a structure of independence that leaves it nearly untouched by external legal control—until its research crosses into regulation, as with the supervisory stress tests, and the law responds only belatedly, by way of a downstream rule. The federal statistical system produces research that is legally operative on its face—figures that apportion the House and adjust the incomes of millions—and is correspondingly constrained by constitutional command, detailed statute, and a generation of litigation. The economic-analysis agencies produce research that the courts have

⁵⁸Foundations for Evidence-Based Policymaking Act of 2018, Pub. L. No. 115-435, 132 Stat. 5529 (codified in scattered sections of 5, 44 U.S.C.). The premium on statutory rather than policy protection is underscored by the vulnerability of the statistical agencies to political pressure over the release and framing of high-salience figures.

made a precondition to valid action, disciplined directly by hard-look review of the rules it supports. Three models, and three markedly different relationships between knowledge and law.

Running through all three is the accountability paradox: legal control over agency research tracks the research's legal operativeness rather than its real-world influence, with the consequence that the most consequential research is frequently the least constrained. The empirical companion to this Note gives the paradox quantitative form, juxtaposing the Federal Reserve's commanding scholarly footprint against its near-absence from the judicial record. In the order left by *Loper Bright*, in which the quality and integrity of the administrative record matter more than ever, that mismatch can no longer be treated as an afterthought. The field requires a procedural law of research commensurate with the function's power: graduated transparency for research that operates as a rule, a correction mechanism of genuine force, and statutory protection for the integrity of official knowledge. To identify the fourth function is the first step; to govern it is the task that remains.